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Q.1) Why did the Bretton Woods monetary system collapse?

Ans:- The Bretton Woods system broke down mainly because the United States could no longer support the gold standard. In the late 1960s and early 1970s, the U.S. was dealing with a growing trade deficit, rising inflation, and expensive spending on the Vietnam war. This made other countries lose faith in the U.S. dollar. As more nations began exchanging their dollars for gold, the U.S. gold reserves dwindled, and President Nixon eventually stopped the practice of converting dollars to gold, which brought the system down.

Q.2) What do you mean by 'Dollar Dominance' in the international financial system? Critically brief on its current status.

Ans:- 'Dollar Dominance' means that the U.S. dollar is the primary currency used around the world for international trade, investments, and by central banks as a reserve asset. Even though there are alternatives like the Euro or the Chinese Yuan, the dollar still holds its top spot. This is largely because people and governments have long trusted the U.S. economy, its financial markets are very deep and liquid, and the dollar is widely accepted in global transactions.

Q.3) Write about the SDR status of India in the IMF.

Ans! - Special Drawing Rights (SDRs), which has bolstered its international reserves. More recently, additional SDR allocations have been made to India, aiding the country in managing its international payments and stabilizing its exchange rate.

Q.4) Describe the role played by the IMF in the 1991 New ~~Economic~~ Economic Reforms of India.

Ans:- In 1991, India faced a serious economic crisis due to a balance of payments problem. To help, the IMF stepped in with a bailout package of \$2.2 billion. However, this assistance came with conditions. India was reqd. to implement major reforms, including opening up its economy to more international trade, privatising several state-owned enterprises, and encouraging foreign investment. These changes helped transform India's economic landscape, making it more competitive and setting the stage for future growth.